LAWS OF NEPAL · FEDERAL GOVERNANCE STATUTES

Local Government Operation Act, 2074

Municipal Powers, Ward Service Centres, Judicial Committees, and Local Budgeting

Federal & Local Governance Law Digest

Act 2074 BS · PSC Core Statute · 4 Pages

CHAPTERS 2–3 · CONSTITUTIONAL MANDATE & POWERS

753 Local Governments & Schedule-8 Jurisdiction

Enacted under Article 296(1) of the Constitution of Nepal to operationalize local autonomy, doorstep service delivery, and participatory local democracy across 460 Rural Municipalities and 293 Municipalities.

- Classification Criteria (Sections 5–8): Based on population, minimum annual internal revenue over the preceding five years, road/electricity/health/education infrastructure, and geographic continuity (Himal, Pahad, Terai).
- 22 Exclusive Powers (Section 11 & Schedule-8): Municipal police, cooperative regulation, FM operation, local taxes (property, house rent, business, land revenue), basic & secondary education, basic health & sanitation, local roads/irrigation, vital registration, and disaster management.
- Ward Committee as Frontline Hub (Section 12): Composed of the Ward Chairperson and four elected Ward Members (including Dalit women and women representation), delivering recommendations, civil registration, and development supervision.

CHAPTERS 4–7 · ASSEMBLY, BUDGET & PLANNING

Seven-Step Participatory Planning & Budget Cycle

- Local Assembly & Executive: Assembly meets at least twice a year; Executive divides work into thematic committees (public service, economic development, social development, infrastructure, environment & disaster).
- Mandatory Budget Calendar (Section 71): Local Executive must table the annual revenue and expenditure estimate (budget) before the Municipal/Rural Municipal Assembly by Ashadh 10 each fiscal year and pass it before the end of Ashadh.
- Local Consolidated Fund (Section 69): All local revenues, federal/provincial fiscal equalization, conditional, complementary, and special grants, and internal loans are credited to the Local Consolidated Fund.

CHAPTER 8 · JUDICIAL COMMITTEE (SECTIONS 46–53)

Local Dispute Settlement & Mediation

- Composition (Article 217): Three-member Judicial Committee coordinated by the Vice-Chairperson (Gaunpalika) or Deputy Mayor (Nagarpalika), with two members elected by the Local Assembly from among themselves.
- Original Decision Jurisdiction (Section 47[1]): 13 local civil categories including boundary/canal/water-use disputes, crop damage, pasture/fodder, unpaid wages, senior citizen care, and minor spousal/maintenance protection.
- Mediation-Only Jurisdiction (Section 47[2]): 11 dispute categories resolved exclusively through community mediation centers, with appeal lying to the concerned District Court within 35 days of notification.